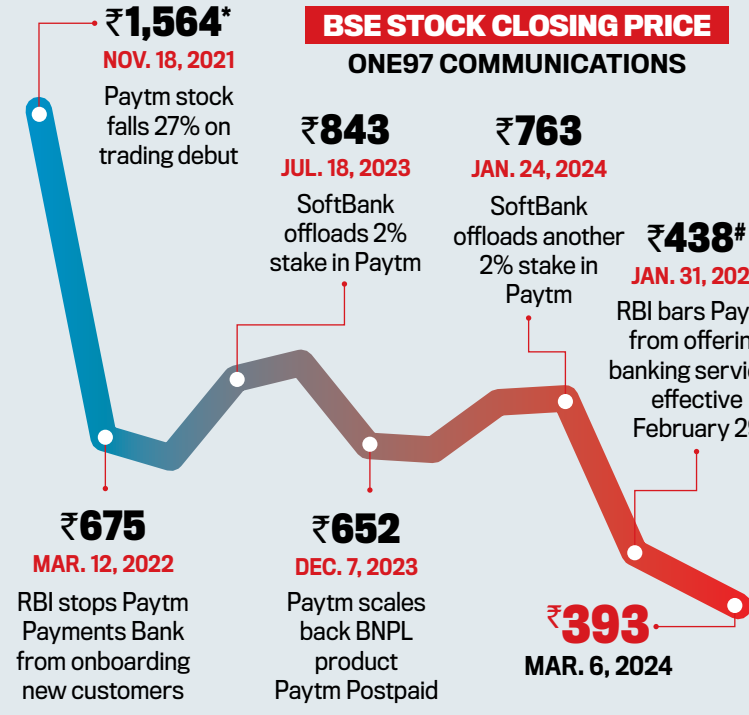


SHEKHAR GHOSH



Closing price for the same session; #closing price for Feb. 5; source: media reports

Paytm Gold, Paytm Insider and Paytm FASTag. In 2018, he launched Paytm Money, a stock-broking firm, Paytm PostPaid and First Games. "The intent was to diversify into value-creating businesses," says Maitra. "Banking was one of them and showed that there is a path to profitability for the company based on its ancillary services." Sharma owns 51 per cent of PPB, while Paytm holds the rest. His stake in One97 Communications, on the other hand, was 19.4 per cent as of September 2023, the remaining held by a clutch of investors, including SoftBank, Elevation Capital and the Ant group. In 2019, Paytm tied up with digital non-banking financial company (NBFC) Clix Finance to offer instant digital loans to customers and merchants on the Paytm platform. It also partnered with around 10 banks and NBFCs for loan disbursals.

Paytm primarily made money out of payment processing and subscription revenues. It made a net payment margin of 0.07-0.09 per cent of gross merchandise value (GMV) on processing, of which UPI gives 0.03-0.04 per cent and other instruments give 0.15-0.18 per cent. Then, it made money on point of sale (PoS) devices among merchants, at an average monthly subscription charge of Rs 100 and Rs 250 for high-end devices. Through disbursement of loans, it made 2.5-3.5 per cent of loan value upfront on disbursement and 0.5-1.5 per cent of the current disbursement value on collection.

Yet, even as Paytm gained in revenue, its problems were becoming evident. Where the company faltered, say experts, was in not being able to create a differentiated offering that guaranteed some money and margin. In a bid to get into financial services of every kind, the focus was diffused. The Paytm 'Superapp' was thus doomed to fail. "When you try to do too many things at the same time, there is no differentiation in the business," says Maitra. Meanwhile, Paytm went for an IPO in November 2021 to raise Rs 18,300 crore, the second biggest IPO so far after Life Insurance Corporation of India's in May 2022. The One97 Communications stock listed at Rs 1,955—a discount of 9.3 per cent on its offer price of Rs 2,150—and closed at Rs 1,564, leading to a reported loss for investors of about Rs 5,000 crore. The IPO backfired for the company. Coming under investors' scrutiny every quarter, Paytm's narrative began to come undone. "The biggest problem with Paytm has been its

Like most start-up entrepreneurs, Sharma focused on building the business first, and worrying about compliance later. That is perhaps why the issues kept piling up